

in a flash loan, which requires that repayment occur with the same asset. A key aspect of a flash swap is that all trades must occur during a single Ethereum transaction and the trade must be closed with the corresponding amount of the complementary asset in that market.

Consider this example in the DAI/USDC market with a supply of 100,000 each (Figure 6.7). This implies a 1:1 exchange rate and an invariant of 10 billion. A trader who

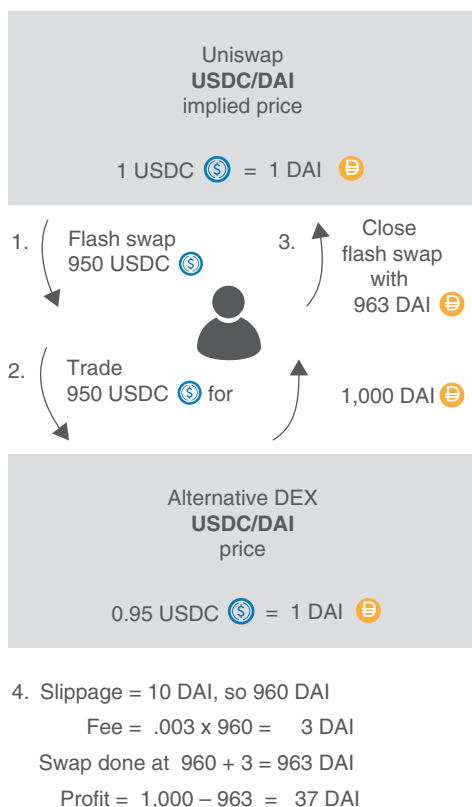


Figure 6.7 The Mechanics of a Flash Swap in Uniswap